

Restricted Cash

The following table provides a reconciliation of cash, cash equivalents and restricted cash reported on the Consolidated Balance Sheets to the amounts reported on the Consolidated Statements of Cash Flows (in thousands):

	December 31,	
	2019	2018
Cash and cash equivalents	\$ 172,960	\$ 172,704
Restricted cash included in other long-term assets	116	114
Total cash, cash equivalents and restricted cash reported on the Consolidated Statements of Cash Flows	<u>\$ 173,076</u>	<u>\$ 172,818</u>

As of December 31, 2019 and 2018, restricted cash included a security deposit that is set aside in a bank account and cannot be withdrawn by the Company under the terms of a lease agreement. The restriction will end upon the expiration of the lease.

4. FAIR VALUE MEASUREMENTS

The following table details the fair value measurement of the financial assets (in thousands):

	December 31, 2019			
	Total	Level 1	Level 2	Level 3
Money market funds	\$ 28,100	\$ 28,100	\$ -	\$ -
Corporate debt securities	260,950	-	260,950	-
Commercial paper	1,994	-	1,994	-
U.S. treasuries and government agency bonds	19,493	-	19,493	-
Auction-rate securities backed by student-loan notes	3,138	-	-	3,138
Mutual funds and money market funds under deferred compensation plan	21,975	21,975	-	-
Total	<u>\$ 335,650</u>	<u>\$ 50,075</u>	<u>\$ 282,437</u>	<u>\$ 3,138</u>

	December 31, 2018			
	Total	Level 1	Level 2	Level 3
Money market funds	\$ 41,135	\$ 41,135	\$ -	\$ -
Corporate debt securities	170,909	-	170,909	-
U.S. treasuries and government agency bonds	32,068	-	32,068	-
Certificates of deposit	1,600	-	1,600	-
Auction-rate securities backed by student-loan notes	3,241	-	-	3,241
Mutual funds and money market funds under deferred compensation plan	18,867	18,867	-	-
Total	<u>\$ 267,820</u>	<u>\$ 60,002</u>	<u>\$ 204,577</u>	<u>\$ 3,241</u>

- Level 1—includes instruments with quoted prices in active markets for identical assets.
- Level 2—includes instruments for which the valuations are based upon quoted market prices in active markets involving similar assets or inputs other than quoted prices that are observable for the assets. The market inputs used to value these instruments generally consist of market yields, recently executed transactions, broker/dealer quotes or alternative pricing sources with reasonable levels of price transparency. Pricing sources may include industry standard data providers, security master files from large financial institutions, and other third-party sources used to determine a daily market value.
- Level 3—includes instruments for which the valuations are based on inputs that are unobservable and significant to the overall fair value measurement.

The Company's level 3 assets consist of government-backed student loan auction-rate securities. The following table provides a rollforward of the fair value of the auction-rate securities (in thousands):

Balance at January 1, 2018	\$ 5,256
Change in unrealized loss included in other comprehensive income	(15)
Sale and settlement at par	<u>(2,000)</u>
Balance at December 31, 2018	3,241
Change in unrealized gain included in other comprehensive income	147
Sale and settlement at par	<u>(250)</u>
Balance at December 31, 2019	<u>\$ 3,138</u>